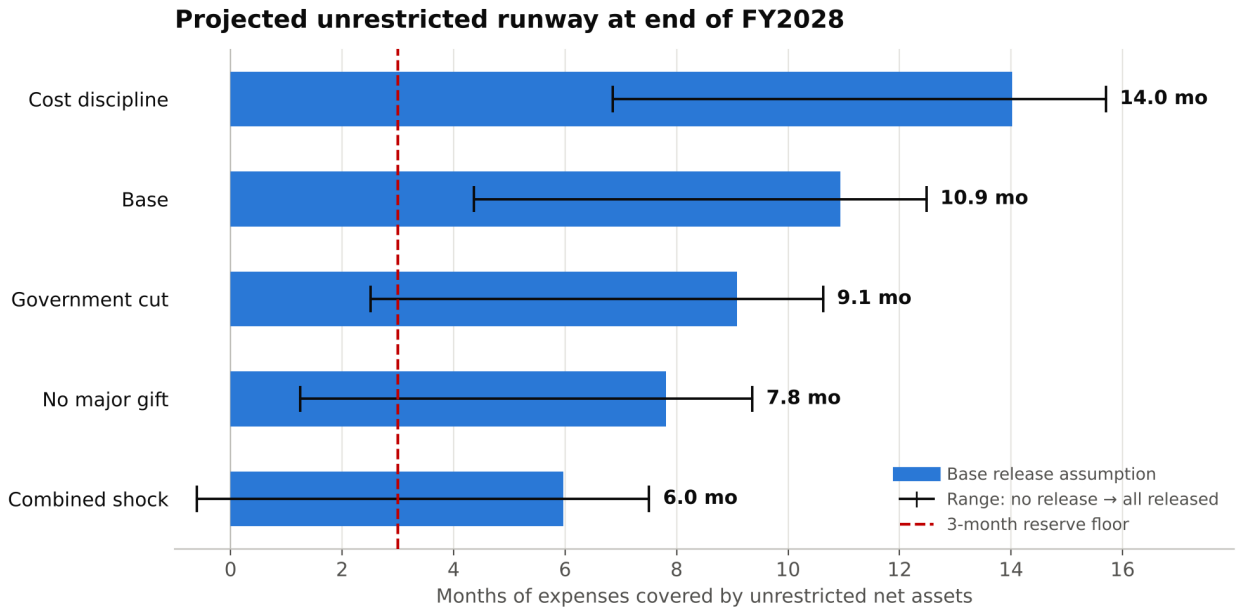
Funding Shock Stress Test: Communities In Schools of Chicago

Independent analysis of public IRS Form 990 data, FY2021-FY2025, with a FY2026-FY2028 forecast

Bottom line. CIS isn't about to run out of cash, but its regular income doesn't cover its costs. Recurring revenue falls **$1.1M-$2.2M a year** short, so CIS needs about **$1.8M a year in one-time gifts** (about $7.2M every 4 years) just to stay even. Reserves stay above the 3-month floor through FY2028 only because about **$5.3M of donor-restricted pledges** is expected to become spendable. Without new gifts, reserves run out around **FY2031**.

What we found

- **Revenue depends on large, irregular gifts.** Contributions are about 89% of revenue. Revenue swung from $4.4M to $11.1M and back to $7.0M (FY2021-FY2025), while costs rose every year, from $5.3M to $8.1M.
- **FY2025's deficit came from gifts rolling off, not a cost blow-out.** Revenue fell 15% ($1.3M) as non-government contributions dropped $1.5M; costs grew only 3.8%.
- **Half the cushion isn't spendable yet.** Of $12.9M in net assets, $6.5M is donor-restricted (money CIS can spend only once donors' conditions are met), mostly pledges not yet collected ($6.4M). Spendable reserves cover 9.5 months, down from 15.1 in FY2022.
- **Efficiency has slipped.** Program services have been 69-72% of spending since FY2022, below the 75% guideline.



Source: CIS of Chicago Form 990s (FY2021–FY2025); author's FY2026–FY2028 forecast.

Bars use the base case, which releases restricted pledges down to $1.24M; the lines show the range from no release to full release. Cost discipline = expenses grow 3% instead of 6%. Combined shock = no new gift and government grants cut 50%.

What we recommend

- **Slow cost growth to about 3% a year.** It's the one lever CIS fully controls: it cuts the gifts needed to $1.3M a year and keeps runway near 14 months.
- **Grow regular, unrestricted income.** Seek multi-year unrestricted commitments, grow school contracts (flat at about $560k for five years), and bring the cost to raise $1 back from $0.22 toward $0.10.
- **Track pledge collections and set a reserve policy.** The runway depends on $6.4M of pledges being paid. Aim for 6 months of spendable reserves, and treat government grants ($989k) as at-risk funding.

Assumptions and limits

Source: CIS of Chicago Form 990s, FY2021-FY2025 (FY2025 is the latest filed). Base case: non-government giving +3% a year; government grants and school contracts flat; costs +6% a year; a $5M gift every 4 years, released over 4 years; restricted pledges released evenly over FY2026-FY2028 down to $1.24M. Release timing isn't public and is the biggest swing factor, so the chart shows the range. "Runs out around FY2031" holds the FY2028 deficit flat, so it is optimistic. Not affiliated with CIS of Chicago; not financial advice.